Wealth Management & Portfolio Advisory

INVESTMENT POLICY STATEMENT

Effective Date: April 2026 | Next Review: April 2027

Prepared by:

Bluberi Capital, LLC

Wealth Management & Portfolio Advisory

Soumya — Portfolio Manager

One Financial Center, Suite 2200
Boston, MA 02111
Tel: (617) 555-0182 | www.blubericapital.com

This Investment Policy Statement should be reviewed and updated at least annually. Any change to this policy should be communicated in writing on a timely basis to all interested parties.

Executive Summary

This Investment Policy Statement sets out the investment goals, plan, and control framework as discussed and agreed with you (Sai Vrishank, the "Client") and Bluberi Capital (the "Advisor"). The aim of your portfolio is to achieve substantial growth in capital over the long term mainly by concentrating on U.S. growth stocks selected actively. At the same time, for diversification and to have optionality in case of rate cuts, the portfolio carries a Treasury component of long duration.

Your Profile at a Glance

Parameter	Value
Client	Sai Vrishank, age 28, single, no dependents
Employment	Software Engineer at a FAANG technology firm
Assets Under Management	$350,000 (individual taxable account)
Risk Tolerance Score	87 / 100 — Aggressive band
Risk Aversion Index (A)	2.6 (Bull market scale, 1–20)
Investment Horizon	11–20 years (long-term)
Primary Objective	Aggressive growth, maximizing accumulation
Benchmark	iShares Russell 1000 Growth ETF (IWF)

Strategic Target Allocation & Expected Performance

Metric	Your Portfolio	IWF Benchmark
Equity Allocation	**91.25%**	100%
Bond Allocation (VGLT)	**8.75%**	0%
Expected Annual Return	**31.29%***	11.97%
Expected Volatility (σ)	**14.41%**	19.40%
Sharpe Ratio	**1.9148**	0.4446
Jensen's Alpha (annualized)	**24.02%**	—
Information Ratio	**1.3458**	—

* The 31.29% expected return is an in-sample result of Treynor-Black optimization over May 2021 April 2026. Returns realized in future are expected to be significantly lower due to alpha shrinkage and mean-reversion (consult interpretation note, Part IV, for details).

Part I — Scope, Purpose & Governance

Purpose

The aim of this Investment Policy Statement (IPS) is to set up a written, formal agreement between you (Sai Vrishank, the "Client") and Bluberi Capital (the "Advisor") about the way your investment portfolio is going to be built, checked, and assessed. This paper sets a transparent mode of communication between us and serves as a guideline that we can use even during times of market upheaval, when short-term feelings might tempt us to abandon a well-thought-out long-term strategy.

In particular, with this IPS you can expect not only the realistic returns and risk which are in line with your objectives and time frame, but also the identification of the asset classes and tactics to be used, a schedule and method for performance evaluation and rebalancing, and last but not least, our guide to measuring success. As such, this IPS does not imply any contractual obligations; the enforceable terms are contained in a separate Investment Management Agreement.

Our Investment Philosophy

Bluberi Capital's philosophy rests on three commitments:

- **Evidence-based construction.** Every allocation and selection decision is grounded in established finance theory Modern Portfolio Theory (Markowitz, 1952), the Capital Asset Pricing Model (Sharpe, 1964), and the Treynor–Black active portfolio model (Treynor & Black, 1973) validated by empirical regression on your investment universe.
- **Discipline over prediction.** Pre-committed rules for allocation, rebalancing, and risk limits replace discretionary market timing. This protects your portfolio from behavioral biases and enforces consistency across market cycles.
- **Alignment with your circumstances.** Your portfolio is calibrated to your specific risk tolerance, horizon, liquidity needs, and tax situation not to a generic template.

Roles & Responsibilities

Bluberi Capital, operating via Portfolio Manager Soumya, is a fiduciary to you and has been granted discretionary power to implement the strategy laid out in this IPS. Our role comprises:

- Preparing and maintaining this IPS in consultation with you.
- Constructing and managing your portfolio consistent with the strategic allocation in Part III.
- Executing security selection using the equity screening and Treynor–Black weighting methodology in Part IV.
- Monitoring portfolio drift and rebalancing per the policy in Part IV.
- Delivering quarterly performance reports with attribution and risk metrics.
- Complying with applicable securities laws, the Prudent Investor Rule (UPIA, 1994), and the CFA Institute Code of Ethics.
- Avoiding conflicts of interest and self-dealing; all recommendations are made solely in your best interest.

As a Client, you are responsible for providing complete and accurate information about your situation, promptly notifying us of any changes, reviewing and approving this IPS in writing, and attending our annual review meetings.

Your assets are held by an independent qualified custodian outside of Bluberi Capital in a segregated account under your name. They take responsibility for providing you with monthly statements, settling trades, collecting dividends and interest, and supplying you with year-end tax documentation.

Part II — Your Profile, Return & Risk Objectives

Your Profile

At 28, you are currently in the beginning stages of the accumulation phase of the investment cycle. You have roughly 37 years before reaching the usual retirement age. Your main source of income is an employment as a full-time Software Engineer at one of the FAANG firms that consistently offer high salaries. Since you are single and have no dependents, you can afford to have a higher risk tolerance and a longer investment horizon. The $350,000 that you are investing now is your long-term savings with no specific short-term need; you have also kept your emergency reserves in separate accounts.

Your Risk Tolerance Assessment

Your risk tolerance was assessed using a six-question questionnaire. Your total score of 87 / 100 places you in the Aggressive band:

Question	Your Response	Score
1. Current financial goal	Aggressive growth, maximizing accumulation	**30**
2. Investment time horizon	11 to 20 years	**23**
3. Risk / return trade-off preference	Portfolio #5 (highest risk / return)	**10**
4. Reaction to significant market decline	Sell Nothing, Remain Invested	**7**
5. Acceptable recovery period after loss	3 years or more	**10**
6. Comfort investing during uncertainty	Agree	**7**
Total Risk Tolerance Score	**Aggressive band (81–100)**	**87**

Translating Your Score into a Risk Aversion Index

Before operationalizing your risk tolerance for portfolio optimization (Bodie, Kane & Marcus, 2021) purposes, we convert your score into a Risk Aversion Index (A) level. Because of the present situation of the market good stock markets and focus on AI productivity upgrading we use the Bull-market scale ($A \in [1, 20]$):

$A = 20 \times (1 - Score / 100) = 20 \times (1 - 87/100) = \mathbf{2.60}$

A low A value reflects your strong preference for higher expected return at the cost of accepted volatility.

Your Return & Risk Objectives

Your return goal is an aggressive long-term capital growth, significantly more than inflation and the benchmark when measured on a risk-adjusted basis. We aim for an expected annual return of 25-35% before fees, a portfolio Sharpe ratio over 1.00 (vs benchmark ~0.44), and an Information Ratio of at least 0.50 against IWF.

In line with your Aggressive profile, you have agreed to an annualized portfolio standard deviation between 14-16%, a maximum expected drawdown of 30-35% in a severe stress scenario, and a Beta relative to IWF in the range of 0.6-1.0.

Your Constraints

Time Horizon. Long-term (11-20 years). If you are 28 years old and have no dependents or expected major expenses in the near future, you may be able to handle stock price fluctuations and give time for prices to revert to their average levels (Siegel, 2014).

Liquidity Needs. Low. Your FAANG income handles cash flow, and your emergency buffer is held outside this account anyway. So we don't carry a cash sleeve here. That's why the optimal allocation puts 0% into T-bills.

Tax Considerations. Taxable individual account. At your income level, the highest federal tax rates will be applied to short-term capital gains, while lower rates will be charged to long-term gains and qualified dividends. Our approach to tax-awareness includes maintaining long holding periods, tax-loss harvesting, and selecting securities with low-yields to reduce the tax drag.

Legal / Regulatory. Standard SEC as well as FINRA regulations are applicable here. Since you are not an officer, director or 10% owner of any public company, section 16 restrictions are not applicable to you.

Unique Circumstances. You also have restricted stock units (RSUs) with your FAANG employer, which is separate from this portfolio, so you effectively have a significant concentration of wealth at the overall level through this source of wealth; therefore, we deliberately do not make allocations to companies in your employer's main sector (mega-cap consumer technology). Benchmark exclusion: we don't hold IWF directly, consistent with our active management mandate.

Part III — Asset Allocation & Investment Philosophy

Through a top-down approach, the composition of each part of your portfolio is established: initially, figuring out the share of safe assets vis-à-vis risky ones (Capital Allocation), next deciding on the divide of risky investments between bonds and stocks (Asset Class Allocation), and lastly choosing the individual securities to hold (Security Selection).

Step 1 — Capital Allocation (Risky vs. T-Bill)

The fraction of your wealth to invest in risky assets (denoted as y) can be determined by the formula that maximizes your utility:

$y^* = (E[R_p] - R_f) / (A \times \sigma_p^2)$

We have $E[R_p] = 31.29\%$, $R_f = 3.69\%$, $A = 2.6$, and $\sigma_p = 14.41\%$

Plugging these values into the formula gives us

$y^* = 5.11$. This means that the investor should borrow at the risk-free rate to lever the risky portfolio about 5 times. However, since your restriction states no margin or short-selling, we simply limit y to 1.00. This means your entire portfolio (i.e., 100%) will be invested in the risky Optimal Risky Portfolio and 0% will be in T-bills.

Step 2 — Asset Class Allocation (Bond vs. Equity)

Inside the risky portfolio, our allocation is bifurcated between the bond segment (VGLT) and the equity segment (8 handpicked U.S. growth stocks).

The weights are selected so that the portfolio achieves the highest possible Sharpe ratio while adhering to the no-short constraints.

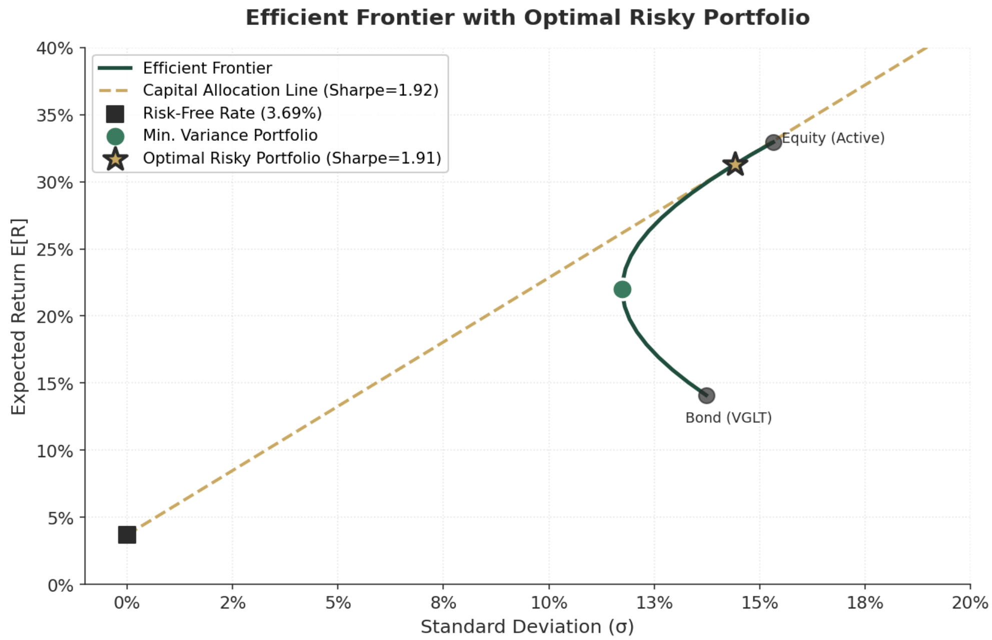

Figure 1. Efficient frontier with Optimal Risky Portfolio at the CAL tangency point

Security	E[R]	σ	Sharpe
Bond Portfolio (VGLT)	14.10%	13.73%	0.759
Equity Portfolio (Active)	32.94%	15.32%	1.909
Correlation (Bond, Equity)	—	—	**0.3224**

The optimisation marks the Minimum Variance Portfolio as one point (58.07% bond / 41.93% equity, σ = 11.74%) and the Optimal Risky Portfolio as the other (8.75% bond / 91.25% equity, Sharpe = 1.9148). We decide to go for the Optimal Risky Portfolio as it is the one that offers the highest risk adjusted return.

Your Final Strategic Allocation

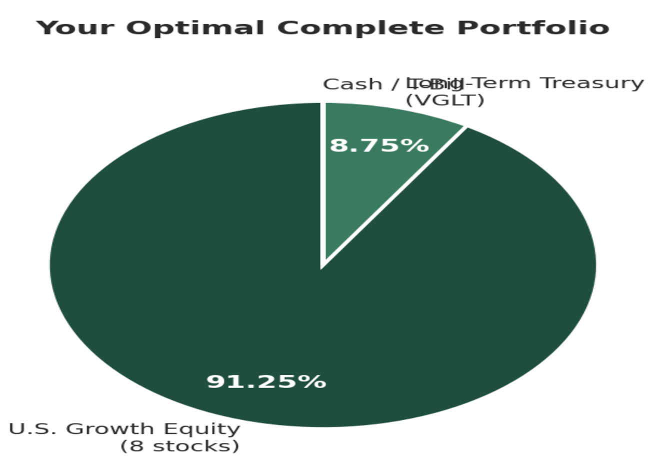

Figure 2. Your Optimal Complete Portfolio allocation

Asset Class	Target	Dollar	Range
U.S. Growth Equity (8 stocks)	**91.25%**	$319,375	85%–95%
Long-Term Treasury (VGLT)	**8.75%**	$30,625	5%–15%
Cash / T-Bill	**0.00%**	$0	0%–10%

Total	**100.00%**	**$350,000**	—

Step 3 — Security Selection

Benchmark Selection

The primary benchmark for you is iShares Russell 1000 Growth ETF (IWF). It follows the Russell 1000 Growth Index a popular large-cap U.S. growth equity measure. IWF was selected as it represents the investable universe from which your Active Portfolio is drawn, has high liquidity and low tracking error, and its passive Sharpe ratio of 0.4446 offers a clear benchmark for our active management.

Equity Screening Methodology

The equity sleeve is derived from the constituents of Russell 1000 Growth by employing a single-index CAPM regression of the stocks against IWF over the period May 2021 April 2026 (59 monthly observations):

$R_{i,t} - R_{f,t} = \alpha_i + \beta_i (R_{M,t} - R_{f,t}) + \varepsilon_{i,t}$

Besides market cap being more than $10B, securities must show Alpha > 0 and P-value on $\alpha \leq 0.10$. Also, the final portfolio that consists of 8 stocks must cover at least four GICS sectors for diversification.

Your Eight Selected Stocks

Ticker	Company	Sector	Alpha	p-value	Investment Theme
APH	Amphenol Corp.	Info Tech	19.07%	0.016	AI infrastructure, electronic components
LLY	Eli Lilly & Co.	Healthcare	28.60%	0.008	GLP-1 franchise, biopharma innovation
VST	Vistra Corp.	Utilities	40.73%	0.024	AI power demand, datacenter electrification
TRGP	Targa Resources	Energy	34.46%	0.015	Energy midstream, LNG export growth
PWR	Quanta Services	Industrials	30.22%	0.018	Grid modernization, electrification
MCK	McKesson Corp.	Healthcare	27.97%	0.014	Pharma distribution scale economics
EME	EMCOR Group	Industrials	30.27%	0.018	Electrical construction, datacenter build
COR	Cencora, Inc.	Healthcare	16.29%	0.107	Specialty pharmaceutical distribution

Sector distribution: Healthcare (3), Industrials (2), Info Tech (1), Utilities (1), Energy (1). COR's p-value of 0.107 is barely above the 0.10 level; however, we keep it as the Treynor, Black optimization still gives it a sizable weight (~17% of the active sleeve) mainly as a result of its low residual variance and the diversification benefit it provides in the healthcare distribution theme.

Economic Outlook

The U.S. economy is projected to see moderate growth, mainly thanks to lower inflation and strong consumer spending. The Federal Reserve has indicated a slow loosening of policies, which could help boost equities and long-term bonds. Over the longer run, structural changes like the adoption of artificial intelligence, increased infrastructure spending, and aging population will likely be the main drivers of solid earnings expansions in certain industries.

Portfolio Style & Industry Outlook

You have a portfolio style of U.S. Large-Cap Growth with an active-quality tilt. Your equity allocation supports three strong industry themes that will drive growth over your long time horizon:

- **AI infrastructure buildout.** Hyperscaler capital expenditure is driving structural demand for electrical components (APH), power (VST), grid upgrades (PWR), and construction (EME).
- **Healthcare innovation & aging demographics.** GLP-1 franchise (LLY) represents a multi-decade pharma supercycle; drug distribution oligopolies (MCK, COR) benefit from specialty drug growth.
- **U.S. energy security & LNG export growth.** Midstream energy infrastructure (TRGP) supports durable cash-flow generation during the global energy transition.

Treynor–Black Weighting

Inside the equity sleeve it is clearly stated that in order to calculate weight of each security, it is proportional to its alpha-to-residual-variance ratio: $w_i(0) = \alpha_i / \sigma^2(\varepsilon_i)$, and then they are normalized to sum to 1. Taking into account the Active Portfolio's extremely high information ratio (24.86), the combination with the passive index without short selling puts 100% on the Active Portfolio.

The Bond Sleeve — VGLT

The 8.75% fixed-income part of the portfolio is done through the Vanguard Long-Term Treasury ETF (VGLT). This part of the portfolio has three functions. First, it diversifies the portfolio (the correlation with stock is 0.32). Second, it provides the possibility of benefiting from a decrease in interest rates (it has a long duration which is beneficial when rates fall). Third, it helps to reduce the overall volatility of the portfolio.

Attribute	Value
Fund Name	Vanguard Long-Term Treasury ETF
Ticker	VGLT (NASDAQ)
Average Maturity	~22 years
Effective Duration	14.09 years (calculated)
30-Day SEC Yield (YTM)	4.70%
Convexity	3.0
Credit Quality	AAA (U.S. Treasury — no credit risk)
Expense Ratio	0.04%

The chart below illustrates the correlation of VGLT's price with different interest rate shocks. Due to convexity adjustment, there is an asymmetrical upside i.e., bonds tend to gain more when rates fall and lose less when rates rise. With a rate shock of, 100 basis points, VGLT is predicted to increase in value by around 14.10%, which can be a significant hedge against an equity market downturn.

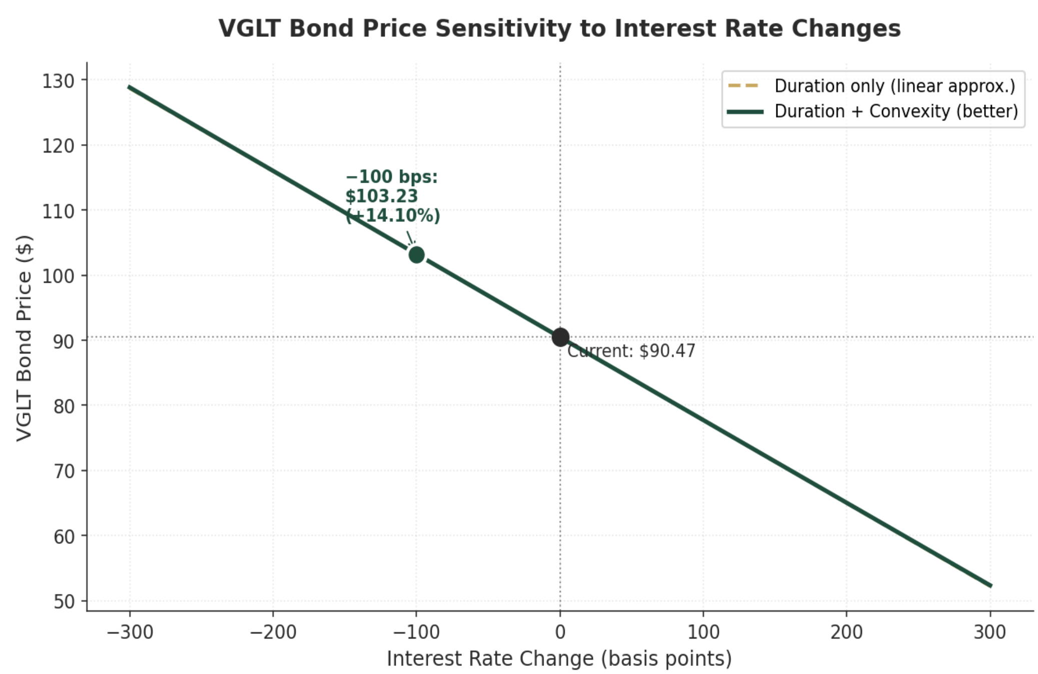

Figure 3. VGLT price sensitivity to interest rate changes

Part IV — Risk Management, Performance & Rebalancing

Your portfolio is monitored continuously against pre-defined risk limits and performance targets. This section documents the framework used to evaluate progress and control risk.

Performance Metrics & Targets

Metric	Definition	Target / Limit
Sharpe Ratio	(Portfolio return − Rf) / σ	> 1.00
Jensen's Alpha	Portfolio return minus CAPM-predicted return	> 5%
Treynor Measure	(Portfolio return − Rf) / β	> 0.15
Information Ratio	Active return / tracking error	> 0.50
Standard Deviation	Annualized volatility of returns	< 20%
Max Drawdown	Largest peak-to-trough loss	< 35%

Your Expected Performance vs. Benchmark

The expected Sharpe ratio of your portfolio, 1.9148, is more than 4 times the benchmark's 0.4446 this is a result of the portfolio diversification and well constructed portfolio. Bond allocation has led to lower volatility and cross-security decorrelation combined with active equity selection have resulted in higher return. Your portfolio's beta of 0.61 is below the benchmark's 1.00, but it is not necessarily in conflict with an aggressive profile. The Treynor-Black selection process favors stocks with a high idiosyncratic alpha and a moderate systematic sensitivity (e.g. LLY β=0.39, TRGP β=0.33, MCK β=0.20), so that excess return is driven more by stock-specific selectivity than market exposure.

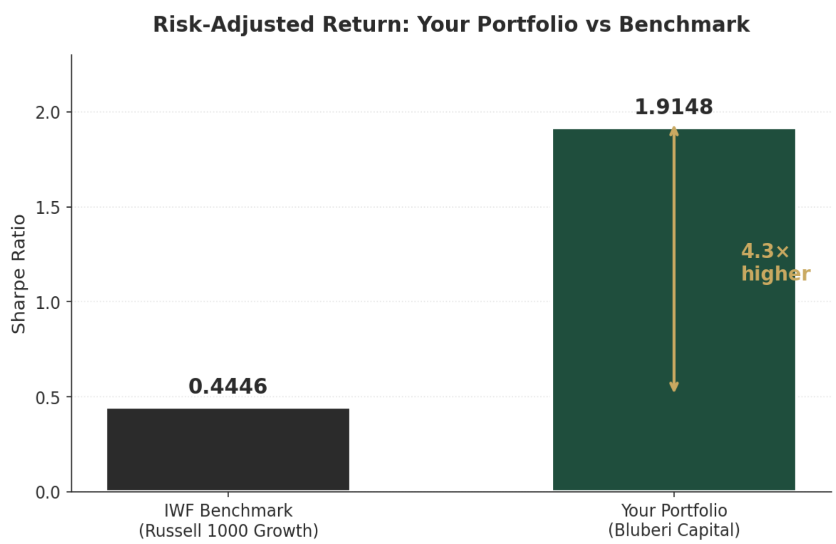

Figure 4. Sharpe ratio: your portfolio vs IWF benchmark (4.3× higher)

Metric	Your Portfolio	IWF Benchmark
Expected Annual Return	**31.29%**	11.97%
Expected Volatility	**14.41%**	19.40%
Sharpe Ratio	1.9148	0.4446
Jensen's Alpha (annualized)	**24.02%**	—
Information Ratio	**1.3458**	—
Treynor Measure	**0.4829**	0.0863

Beta vs IWF	0.6058	1.00

Interpretation note. The 31.29% expected return is an ex-post figure, i.e. it is retrospective, it is derived from monthly regression results over the period May 2021, April 2026, which happens to be a stretch of great performance for AI-adjacent and healthcare innovation themes. This number is the in-sample output of the Treynor, Black optimization used for portfolio construction. Actual forward realized returns may be significantly lower because of alpha decay and mean-reversion;

Following the arguments of alpha-shrinkage in Grinold & Kahn (2000), forward realized alpha is generally only a fraction (25–50%) of backward-looking alpha, which is implying a more conservative forward expectation that still remains at a level well above the benchmark.

Risk Management Strategies

- **Position concentration.** No single equity position exceeds 25% of the equity sleeve; no single GICS sector exceeds 50%.
- **Minimum diversification.** The equity sleeve holds between 6 and 12 individual positions.
- **Drawdown monitoring.** Any peak-to-trough drawdown exceeding 20% triggers a formal risk review; above 30% triggers an expedited IPS review.
- **Alpha decay.** Rolling 12-month alpha is recalculated monthly; a position whose alpha turns negative or p-value rises above 0.15 is flagged for removal.
- **Correlation surveillance.** The bond-equity correlation is reviewed quarterly; above 0.60 triggers a bond sleeve review.

Rebalancing Policy

Rebalancing can be initiated by any of the following events happening first: a quarterly calendar-based review, drift exceeding the threshold of ±5 percentage points from strategic target, a security-level breach (any single equity position going above 25% or dropping below 3% of the equity sleeve), or an event-driven change in the thesis of a holding.

The rebalancing portfolio management follows the tax-aware principles: sale of long-term holdings is given preference over short-term, loss positions are looked at for tax-loss harvesting, and rebalancing trades are aggregated to reduce the spread impact.

Reporting & Review Cadence

Frequency	Contents
Monthly	Custodian account statement with positions, transactions, and values.
Quarterly	Bluberi Capital performance report: absolute and benchmark-relative returns, Sharpe/Treynor/Jensen's metrics, attribution analysis, commentary.
Annually	Full IPS review meeting: reconfirm objectives, constraints, and allocation; document any amendments.
Ad hoc	Immediate communication of any material portfolio event.

Policy Review & Amendment

The IPS gets a full review at least once a year, and any amendment needs written sign-off from both sides.

Outside the annual cadence, a handful of things would force an earlier review. A meaningful shift in your employment, income, or net worth. A major life event such as marriage, divorce, a birth, or the death of a dependent. An inheritance or other windfall. A large expenditure coming up in the next few years. A portfolio drawdown deeper than 30%. Or a real change in how you think about risk.

Appendix — Portfolio Model Outputs

This appendix reproduces key output tables from the portfolio construction workbook. Full Excel files are available on request.

A-1. Efficient Frontier Data Points

Bond wt	Equity wt	E[R]	σ	Sharpe
1.0	0.0	14.10%	13.73%	0.7585
0.8	0.2	17.87%	12.32%	1.1513
0.6	0.4	21.64%	11.75%	1.5280
0.4	0.6	25.40%	12.13%	1.7896
0.2	0.8	29.17%	13.40%	1.9019
0.0	1.0	32.94%	15.32%	1.9088
58.07%	**41.93%**	**22.00%**	**11.74% ← MVP**	**1.5596**
8.75%	**91.25%**	**31.29%**	**14.41%**	**1.9148 ← ORP**

A-2. Active Portfolio Summary (Treynor–Black)

Metric	Value
Alpha of Active Portfolio (αA)	24.02%
Residual variance σ²(εA)	0.0097
Information Ratio (αA / σ(εA))	24.86
Beta of Active Portfolio (βA)	0.6058
Final weight on Active Portfolio	**100.00%**

A-3. Bond Duration & Convexity (VGLT)

Input / Output	Value
Average maturity (rounded)	22 years
Assumed coupon (per $100 par)	4.00%
Yield to maturity	4.70%
Convexity	3.00
Current bond price	$90.47
Modified Duration (D*)	14.09 years
Price change D* only (−100 bps)	+14.09% → $103.21
Price change D* + Convexity (−100 bps)	**+14.10% → $103.22**

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Acknowledgment & Signatures

By signing below, you (the Client) and Bluberi Capital (the Advisor) confirm that you have read, understood, and agreed to the contents of this Investment Policy Statement. You also confirm that the information you have provided is accurate and complete to the best of your knowledge.

The IPS refers to the Investment Policy Statement. A contract specifies the definitive terms of our partnership. This letter encapsulates the agreed investment strategy and with the writing, it can be changed with the approval of both parties. Bluberi Capital will go over this IPS with you at least once a year. In fact, it is your responsibility to inform us of any major changes that might impact the goals or composition of this portfolio.

CLIENT

Name: Sai Vrishank

Signature: ________________________________ Date: _______________

PORTFOLIO MANAGER — BLUBERI CAPITAL

Name: Soumya

Title: Portfolio Manager

Signature: ________________________________ Date: _______________

Disclaimers. Investing involves risk, including the potential loss of principal. Past performance is not a guarantee of future results. Diversification does not ensure a profit or protect against loss in a declining market. Expected returns and risk figures are forward-looking estimates based on historical data and do not guarantee future performance. Bluberi Capital acts in a fiduciary capacity. Tax advice should be obtained from a qualified tax professional.